

ERP IMPLEMENTATION JOURNEY AT IBS SOFTWARE

Submitted by:

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IBS Software is a multinational IT firm headquartered in Trivandrum, India. Established in 1997, the company employs over 3,500 people globally and provides mission-critical software solutions to clients in the aviation, travel, hospitality, and logistics sectors. With a clientele exceeding 170 global organizations, IBS operates at a significant scale, managing complex operations and offering services ranging from airline reservation systems to logistics tracking.

For this project, we interviewed Mr. Ajith Ashok, an Account Executive in the Accounts Payable department. He was closely involved in the ERP rollout, particularly in the finance and procurement modules. His role included testing the system's invoice workflows and coordinating with the IT department for payment data migration. He also consulted senior team members to provide a comprehensive view of the ERP journey.

Before 2021, IBS relied on Tally ERP for basic accounting and inventory functions. While effective during the company's early growth phase, Tally became a bottleneck as IBS expanded globally. Key issues included data silos between departments, lack of real-time reporting, manual processes prone to errors, and a lack of cloud access — challenges that were further magnified by the COVID-19 pandemic. Remote work revealed severe limitations in the system, prompting IBS to transition to Oracle Fusion Cloud ERP in 2021.

The old system, Tally ERP, which had been used since 2008, failed to scale with the company's growth. Departments operated in isolation with no direct system integration. Month-end closings could take up to 10 days, and duplicate vendor entries caused significant confusion. Moreover, the absence of role-based access controls created serious security vulnerabilities. As IBS took on international clients and more complex projects, these inefficiencies became unacceptable, driving the decision to explore and eventually adopt an enterprise-level ERP solution.

Several internal and external factors influenced this transition. Internally, the complexity of global operations demanded automation and real-time data access. Externally, the pandemic and increasing client expectations for transparency and speed highlighted the urgent need for a robust ERP system.

Before the ERP implementation, data management was highly fragmented. Departments maintained local spreadsheets, leading to version mismatches and long recovery times in case of system failures. Nonetheless, some departments, like Finance and HR, maintained detailed records and monthly reconciliations, which helped during the transition.

Specific pre-ERP issues included duplicate vendor entries and difficulty in generating consolidated financial reports. Inventory mismatches and inconsistent data across departments further complicated planning and auditing processes. These challenges underscored the urgent need for a unified, integrated ERP system.

IBS began vendor evaluation in August 2019, considering major players like SAP and Microsoft Dynamics, before finalizing Oracle Cloud ERP by March 2020. However, the COVID-19 pandemic delayed the kickoff until March 2021. The implementation followed a phased approach rather than a "big bang," with Finance being rolled out first, followed by Procurement, HR, and Inventory. The full rollout spanned from November 2022 to September 2023, impacting over 1,500 employees across four business units and redefining over 30 key business processes.

The project was managed by a 15-member team comprising 6 internal IT staff, 3 Oracle consultants, and 6 functional heads. Extensive training efforts led to over 100 hours of training sessions, with 95% user certification achieved prior to the system's go-live. The total implementation cost was around USD 750,000, covering licensing, consulting, and training expenses.

Despite thorough planning, IBS faced several challenges. Data migration encountered issues when moving beyond small test batches, leading to the manual cleaning and re-entry of many records. System interfacing with legacy HR and logistics platforms also caused delays, particularly affecting the HR rollout. Additionally, the push to complete the rollout before the financial year-end created pressure that contributed to some data misalignments.

To resolve these challenges, IBS developed Python scripts to automate data cleansing, built a middleware layer to bridge legacy systems with Oracle ERP, and established a sandbox environment for rigorous patch testing. They also expanded their pool of Oracle-certified super-users to ensure smoother adoption across departments.

Post-implementation, IBS experienced significant improvements. Centralized cloud-based operations reduced duplication errors by 65% and cut reporting times from two days to under two hours. Backup automation, version control, and audit trails enhanced audit readiness by 40%, resulting in better compliance and decision-making capabilities.

IBS also leveraged Oracle BI for over 40 standard reports and created 12 custom dashboards in Power BI. Payroll reporting time decreased by 70%. However, some challenges remain, particularly with syncing legacy systems and overcoming resistance to automation in Procurement and Admin departments.

Looking ahead, IBS plans to phase out remaining legacy systems by Q4 2025, aiming to save \$100,000 annually in maintenance costs. They also intend to expand Oracle usage to CRM and Project Management modules. A training budget of \$60,000 has been allocated for 2024–25 to upskill an additional 50 users, complemented by bi-annual internal and external data audits.

From this journey, IBS learned critical lessons: not to rush ERP rollouts, to test systems using full datasets, to prioritize data cleanliness, and to invest early in comprehensive user training. These insights ensure that the company is better prepared for future digital transformations.

In conclusion, IBS Software's move from Tally ERP to Oracle Fusion Cloud ERP was a transformative journey. It unified operations, improved reporting and audit readiness, and established a robust foundation for future growth, despite facing significant hurdles along the way. This journey offers valuable lessons for any organization planning a major ERP transition.